REPUBLIC OF CAMEROON — Peace · Work · Fatherland
« RÉUSSIR SON EXAMEN » APP — GCE SECTION

GCE A LEVEL — ECONOMICS

Practice Paper WITH MODEL ANSWERS — 2 h

SECTION A : QUESTIONS

1. Define scarcity and explain why it is the central problem of economics.

2. Distinguish between a movement along the demand curve and a shift of the demand curve.

3. State TWO causes of inflation and ONE measure to control it.

4. Differentiate between GDP and GNP.

5. What is devaluation ? Give ONE possible effect of a devaluation of the FCFA on Cameroon's economy.

6. Give TWO reasons why governments levy taxes.

SECTION B : MODEL ANSWERS

1. Scarcity means that resources (land, labour, capital) are limited while human wants are unlimited. Because of scarcity, every society must choose WHAT to produce, HOW to produce and FOR WHOM — hence it is the central economic problem.

2. A movement along the demand curve is caused ONLY by a change in the price of the good itself. A shift of the whole curve is caused by other factors : income, tastes, price of related goods, population, expectations.

3. Causes : demand-pull inflation (too much money chasing few goods) ; cost-push inflation (rise in production costs, e.g. fuel). Control : restrictive monetary policy (raising interest rates), price controls, or reducing government spending. (Any one.)

4. GDP measures the value of goods and services produced WITHIN a country's borders in a year, regardless of who produces them. GNP measures production by a country's NATIONALS, wherever they are in the world. GNP = GDP + net income from abroad.

5. Devaluation is the deliberate lowering of the value of a currency against other currencies. Effect : Cameroon's exports (cocoa, coffee, timber) become cheaper and more competitive abroad, but imports become more expensive, which can raise the cost of living.

6. To raise revenue to finance public expenditure (roads, schools, hospitals) ; to redistribute income ; to discourage the consumption of harmful goods ; to protect local industries from foreign competition. (Any two.)